

Data and federalism: On the NITI NCAER States Economic Forum portal

Reliable data can lead the **dialogue** between the Centre and the States

This week, NITI Aayog, in partnership with the National Council of Applied Economic Research (NCAER), launched the NITI NCAER States Economic Forum — a portal **aggregating** data and analysis on State finances. It presents State-wise reports covering **macroeconomic** indicators including tax and non-tax revenues, as well as human development **statistics** such as school **dropout** rates, **literacy** levels, employment, and historical trends in the **devolution** of central funds. At a time when Centre-State relations are under renewed **scrutiny**, particularly in the southern States, where **fiscal** federalism has been a **long-standing flashpoint**, this portal is a timely and welcome move. The data is not new, drawn as it is from established sources such as the 2011 Census, the Periodic Labour Force Survey, and the Reserve Bank of India's State Finances Report. However, its **comparative** presentation across States brings clarity to the **diverse** fiscal realities of India, offering a **structured lens** through which to **assess disparities** and development. Concerns **persist** about the quality of economic data in India, and this portal is not **immune to** these, relying as it does on **existing** sources. Yet, by organising the data in a user-friendly and comparative format, it can help **anchor contentious** debates — such as those around revenue-sharing and parliamentary **delimitation** — in facts rather than **sentiment**. While these issues are serious, they are part of a much larger set of challenges tied to fiscal relations and political power-sharing between the Union and the States.

The effective **use** of such data **depends** on ongoing engagement by States, especially through institutions such as the Sixteenth Finance Commission. For India's **federal structure** to work **equitably**, regional data must be translated into policies that ensure fair representation, resource **allocation**, and administrative responsibility. Unfortunately, **discussions** on federalism often **get** reduced to **narrow** and **polarised** frames such as debates around the three-language policy or calls to **defer** delimitation. Over-centralisation can **breed discontent**, while regional resistance often risks turning **parochial**. **Navigating** this balance requires cooperation **rooted in** evidence and **mutual recognition** of diverse State realities. **Leaders** in both New Delhi and the State capitals **must** engage in a spirit of **transparency** and trust. The new data platform is not a **panacea** but offers a **credible** starting point — a tool for **fostering** informed, **pragmatic** conversations around **governance**, development, and the future of Indian federalism.

[Practice Exercise]

- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb'.

Vocabulary

1. **Federalism** (noun) – a system of government in which the power is divided between a central authority and various constituent units of the country. संघीय प्रणाली
2. **Dialogue** (noun) – discussion, conversation, debate, exchange, discourse संवाद
3. **Aggregate** (verb) – collect, combine, compile, assemble, accumulate एकत्र करना
4. **Macroeconomic** (adjective) – relating to the branch of economics concerned with large-scale or general economic factors, such as interest rates and national productivity. व्यापक आर्थिक
5. **Statistic** (noun) – data point, figure, metric, number, measurement आँकड़ा
6. **Dropout** (noun) – school leaver, non-finisher, deserter, quitter, truant पढ़ाई बीच में छोड़ने वाला
7. **Literacy** (noun) – reading ability, writing skill, education, learning, basic education साक्षरता
8. **Devolution** (noun) – decentralization, transfer, delegation, distribution, allocation of power सत्ता का हस्तांतरण
9. **Scrutiny** (noun) – examination, inspection, analysis, review, audit जांच
10. **Fiscal** (adjective) – financial, budgetary, economic, revenue-related, monetary राजकोषीय
11. **Long-standing** (adjective) – established, enduring, time-tested, persistent, prolonged लंबे समय से चला आ रहा
12. **Flashpoint** (noun) – conflict point, hotspot, trigger, tension zone, breaking point संघर्ष बिंदु
13. **Comparative** (adjective) – relative, contrasted, measured, evaluated, proportional तुलनात्मक
14. **Diverse** (adjective) – varied, different, multiple, heterogeneous, distinct विविध
15. **Structured** (adjective) – organized, systematic, arranged, ordered, well-formed संरचित
16. **Lens** (noun) – perspective, viewpoint, angle, approach, framework दृष्टिकोण
17. **Assess** (verb) – evaluate, analyze, judge, estimate, appraise मूल्यांकन करना
18. **Disparity** (noun) – inequality, difference, imbalance, variation, gap असमानता
19. **Persist** (verb) – continue, endure, remain, last, prevail बने रहना

20. **Immune** (to) (adjective) – unaffected, resistant, protected, shielded, insusceptible अछूता / अप्रभावित
21. **Existing** (adjective) – current, present, ongoing, prevailing, in place वर्तमान
22. **Anchor** (verb) – ground, base, support, stabilize, secure आधार बनाना
23. **Contentious** (adjective) – controversial, disputed, debatable, provocative, divisive विवादास्पद
24. **Delimitation** (noun) – boundary setting, redistricting, territorial division, border marking, area demarcation निर्वाचन क्षेत्र सीमा निर्धारण
25. **Sentiment** (noun) – emotion, feeling, opinion, mood, attitude भावना
26. **Federal structure** (noun) – a mode of government that combines a general level of government (a central or federal government) with a regional level of sub-unit governments. संघीय ढांचा
27. **Equitably** (adverb) – fairly, justly, impartially, evenly, righteously समान रूप से
28. **Allocation** (noun) – distribution, assignment, apportionment, allotment, designation आवंटन
29. **Narrow** (verb) – limit, restrict, reduce, confine, shrink सीमित करना
30. **Polarised** (adjective) – divided, split, opposed, fragmented, separated ध्रुवीकृत
31. **Defer** (verb) – postpone, delay, put off, adjourn, suspend टालना
32. **Breed** (verb) – create, generate, give rise to, cause, produce जन्म देना / उत्पन्न करना
33. **Discontent** (noun) – dissatisfaction, unrest, resentment, frustration, displeasure असंतोष
34. **Parochial** (adjective) – narrow-minded, regional, insular, provincial, limited संकीर्ण सोच वाला
35. **Navigate** (verb) – manage, steer, handle, direct, deal with रास्ता निकालना / दिशा देना
36. **Root** (in) (verb) – base in, originate from, derive from, grounded in, embedded in आधारित होना
37. **Mutual** (adjective) – shared, common, reciprocal, joint, collective पारस्परिक
38. **Recognition** (noun) – acknowledgment, acceptance, appreciation, identification, validation पहचान / स्वीकृति
39. **Transparency** (noun) – openness, clarity, honesty, accountability, visibility पारदर्शिता
40. **Panacea** (noun) – cure-all, universal remedy, perfect solution, fix-all, magic bullet रामबाण उपाय

41. **Credible** (adjective) – believable, trustworthy, reliable, valid, convincing
विश्वसनीय

42. **Foster** (verb) – encourage, promote, nurture, support, stimulate बढ़ावा देना

43. **Pragmatic** (adjective) – practical, realistic, sensible, rational, logical व्यवहारिक

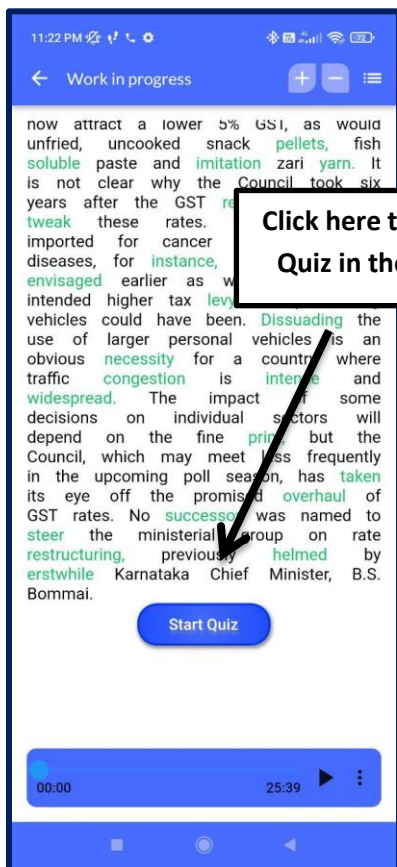
44. **Governance** (noun) – administration, management, leadership, rule, control
प्रशासन / संचालन

@mocks_wallah

Summary of the Editorial

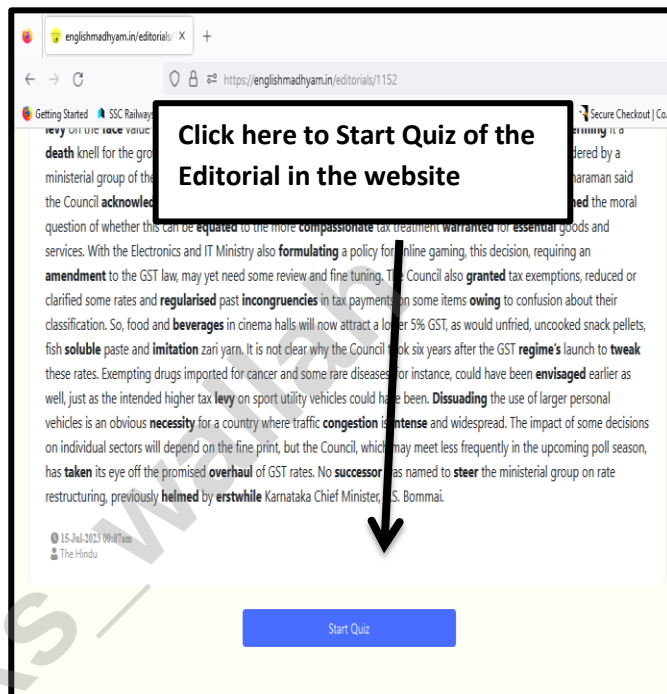
1. Launch of Portal – NITI Aayog and NCAER launched the States Economic Forum portal, aggregating State-level data and analysis.
2. Data Coverage – The portal includes macroeconomic indicators (tax revenues, non-tax revenues) and human development data (literacy, employment, dropout rates).
3. Timely Initiative – It comes amid tensions in Centre-State relations, especially in southern States critical of current fiscal federalism dynamics.
4. Source of Data – The portal draws from existing sources like Census 2011, RBI reports, and labour surveys.
5. Comparative Format – Although not new, the comparative and structured presentation of data across States adds value.
6. Fiscal Reality Check – It highlights disparities and developmental gaps across States, aiding in better policy understanding.
7. Quality Concerns – There are still concerns about data quality, as it depends on the integrity of existing government datasets.
8. Anchoring Debates – The portal can help ground divisive issues (like revenue-sharing and delimitation) in facts rather than emotion.
9. Role of Finance Commission – For effective use, States must engage actively, especially via bodies like the Sixteenth Finance Commission.
10. Federal Equity – Strong data usage can inform fair policies for representation, resource allocation, and responsibility sharing.
11. Risks of Oversimplification – Debates around federalism often get oversimplified or politicised (e.g., language issues, delimitation).
12. Dangers of Centralisation – Excessive central control may cause regional discontent, while local resistance can turn parochial.
13. Call for Cooperation – A balanced federal structure needs evidence-based dialogue and mutual respect for regional diversity.
14. Leadership Responsibility – Leaders at both the Centre and State levels must act with transparency, trust, and commitment to unity.
15. Not a Solution, But a Start – The portal is not a cure-all but serves as a credible tool to enable informed and pragmatic federal discourse.

Practice Exercise: SSC Pattern Based



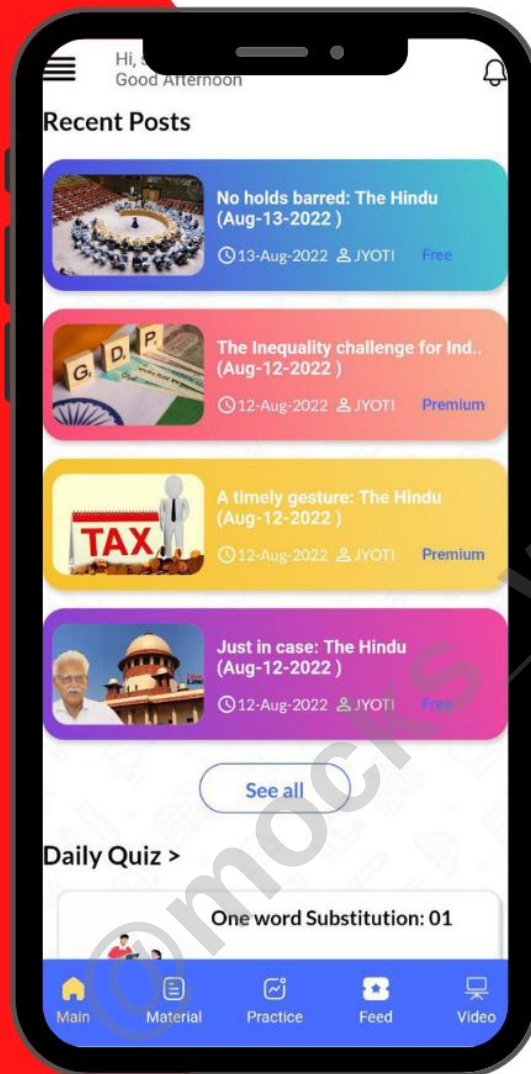
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